

synopsys®

NASDAQ: SNPS; Position: LONG

By: Javin Ku & Alan Dang

Price Target: \$468.91

Upside: 12%

Date: 4/14/2026

Industry Overview

EDA is the software layer enabling a \$600B+ semiconductor industry, with secular AI demand and geopolitical bifurcation driving structural tailwinds for incumbents.

Market Size & Structure

Global Semiconductor Market

~\$630B (2025E) → ~\$1T by 2030 • ~10% CAGR

Chip Design Ecosystem

Foundries, IDMs, fabless, OSAT — ~\$400B addressable

EDA + Simulation + Design IP TAM

EDA	~12B
Simulation	~12B
IP	~8B
Total	32B

Value Chain Positioning

EDA Tools

Design, verify,
sign-off, tapeout
SNPS DA core

Simulation

Thermal, EM,
structural, CFD
Ansys (post-merger)

Design IP

PCIe, HBM,
processor IP
SNPS IP, ARM

EDA + Simulation

- ~90% recurring revenue from time-based licenses; 3–5 year toolchain training creates structural switching costs
- Every tapeout requires EDA + every 3DIC/AI chip requires simulation — no viable workaround at advanced nodes

End Markets

AI, mobile, auto, HPC
NVDA, AAPL

Foundry

Wafer fab,
node process
TSMC, Samsung, Intel

Design IP

- Licensed per-chip and per-node; new standard (HBM4, PCIe 7.0, UCIe) + foundry node (TSMC 2nm) forces re-attach
- 2–3 year foundry certification cycle per node makes IP library a structural moat new entrants cannot shortcut

Three Secular Tailwinds

AI/HPC driving design complexity

- AI accelerators expected to drive >50% of semi revenue growth through 2027
- HBM revenue projected to grow ~70% YoY in 2026, reaching ~\$50B
- Custom silicon (hyperscaler ASICs) growing 25%+ CAGR through 2028

Advanced-node migration

- Advanced nodes (≤5nm) projected to reach 65%+ of foundry revenue by 2026
- Each node shrink increases EDA tool intensity (more verification, more IP blocks)
- 2nm ramp at TSMC (2025–2026) is the next major design cycle

Geopolitical bifurcation

- US export controls force dual design flows for Western + China markets
- China domestic EDA limited to ≥28nm; advanced-node gap persists
- Compliance, recertification, and revalidation requirements expand service attach

Business Overview

Revenue Segments

Design Automation (EDA): ~50% of revenue

- AI-driven suite (~3x faster design closure)
- Hardware verification: ZeBu (emulation)
- SNPS holds 41% of EDA Market
- >90% recurring revenue via time-based licenses

Multiphysics Simulation (Ansys): ~30% of revenue

- Thermal, electromagnetic, and CFD simulation
- Critical for 3DIC, HBM-attached AI chips, packaging
- Ansys closed July 2025; contributed \$886M in Q1 FY26 (tracking ~\$3.5B annualized)
- ~92% gross margin

Design IP: ~18% of revenue

- Interface (PCIe, CXL, HBM4, DDR6), processor, security IP
- End-markets: AI/data center, mobile, auto, hyperscaler ASICs
- FY25: -8% YoY on China restrictions + Intel foundry loss
- FY24: 23.6% YoY growth, indicating room for rebound
- FY26 guided transitional; HBM4/UCIe drives rebuild
- Industry leader in Design IP

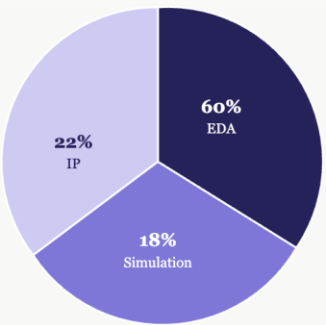
Key Business Points

- FY25 revenue: \$7.05B (+15% YoY); FY26 guide \$9.6B (+36%)
- Backlog: \$11.4B — multi-year revenue visibility
- Non-GAAP operating margin: ~38% (target 41%+ post-Ansys synergies)

Revenue Visual

SNPS FY26E Revenue Mix by Segment (\$9.6B total)

Post-Ansys, three-pillar business structure



Financial Highlight

Market Cap
\$80B

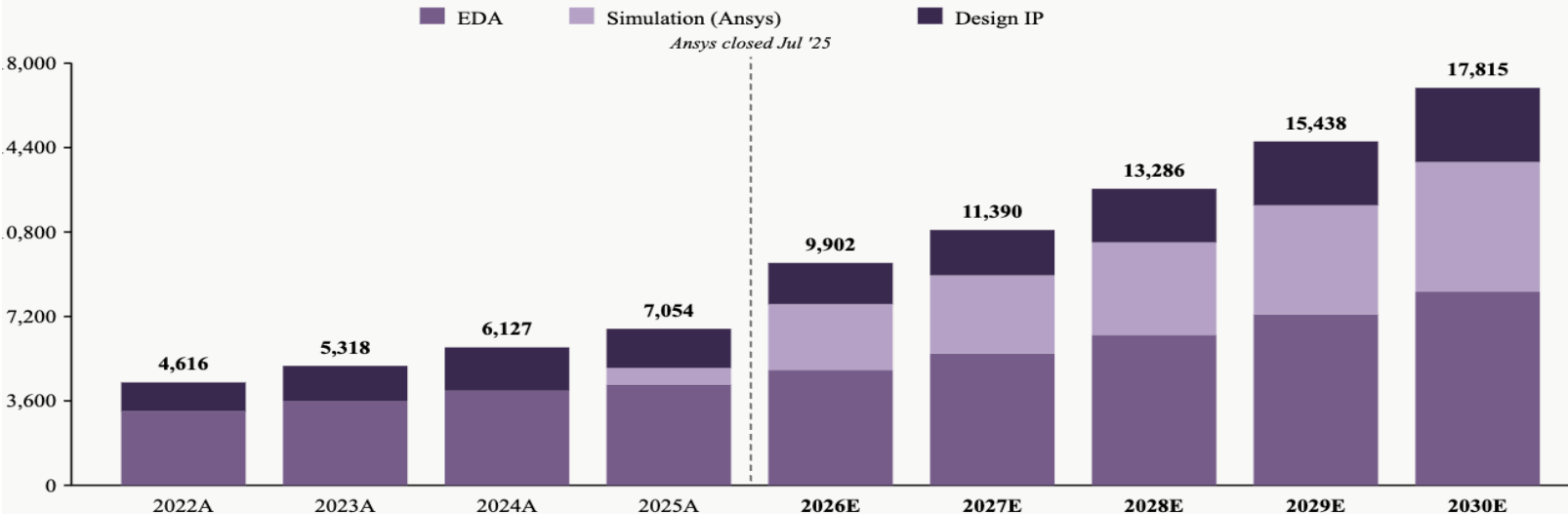
FY25 Rev Growth
15.1%

FY25 Gross Margin
77%

FY25 EBITDA Margin
15.7%

History of Revenue

SNPS Annual Revenue Forecast (\$M)



Competitive Landscape



Product Differentiation	Broadest portfolio: EDA + Design IP + multiphysics (Ansys). AI suite: DSO.ai, VSO.ai, TSO.ai, ASO.ai. Leading in RTL-to-GDS digital flows.	EDA-focused (~90% of revenue). Strength in analog/mixed-signal and custom IC design. Cadence.AI suite (Cerebrus, Verisium).	Strength in manufacturing, DFM, PCB design, and hardware emulation (Veloce). Dominant in physical verification (Calibre).
Competitive Advantage	Ansys unlocks full chip-package-system flow, #1 in digital EDA, largest IP library in industry, deepest foundry certifications (TSMC 2nm/3nm).	#1 in analog/custom IC, stronger pure-play EDA margins, tight integration within EDA-only stack.	Leverages Siemens Industrial Software ecosystem (PLM, MCAD integration); embedded in manufacturing workflows.
Market Focus	AI/data center, hyperscaler ASICs, HBM memory, automotive, advanced foundries (leading-edge nodes).	Hyperscaler ASICs, analog/RF, automotive, system design (post-BETA CAE acquisition).	Automotive, aerospace/defense, industrial, and mature-node foundries. Leans on Siemens parent for verticals.
Financial Synthesis	Revenue: ~\$7.0B FY25E • Non-GAAP op. margin: ~38% • 5Y rev CAGR: ~15% • Forward P/E: 28.9	Revenue: ~\$5.2B FY25E • Non-GAAP op. margin: ~43% • 5Y rev CAGR: ~14% • Forward P/E: ~30x	Segment revenue within Siemens DI (~\$2.0B est.) • Margin not disclosed at segment level • Bundled with broader industrial software

Moat

Synopsys' moat compounds across four reinforcing dimensions each defensible for multiple design cycles.

SNPS' Castle

Layer 1 — Switching Costs

Engineering teams train on SNPS flows for 3–5 years; 18–36 month design cycles make mid-project migration impossible

>78% recurring revenue overall • >15 yr avg. enterprise relationship

Layer 2 — R&D Scale Flywheel

Every design cycle feeds customer data back into SNPS' AI suite (DSO.ai, VSO.ai), widening the capability gap annually

~\$2.1B FY25E R&D • ~3x faster design closure via AI tools

Layer 3 — Foundry Certification

IP and reference flows pre-certified at every leading-edge node; 2–3 year cycle per node creates structural barrier

Certified: TSMC 2nm/N3/N5, Samsung SF2/SF4, Intel 18A • First-to-silicon: HBM3E, PCIe 6.0, UCIe, CXL 3.0

Layer 4 — Platform Breadth (Post-Ansys)

Only vendor offering integrated EDA + multiphysics across chip → package → system — mission-critical for 3DIC/AI

~\$8B+ TAM expansion from Ansys acquisition • Unmatched across CDNS, Siemens EDA

SNPS Core Franchise

41% EDA market share

#1 in advanced nodes

Thesis Implication

Durability anchors thesis:
>78% recurring revenue, high switching costs, and backlog visibility strengthens quality of revenue forecast

Moats compound annually:
R&D flywheel and Ansys integration widen the gap each cycle

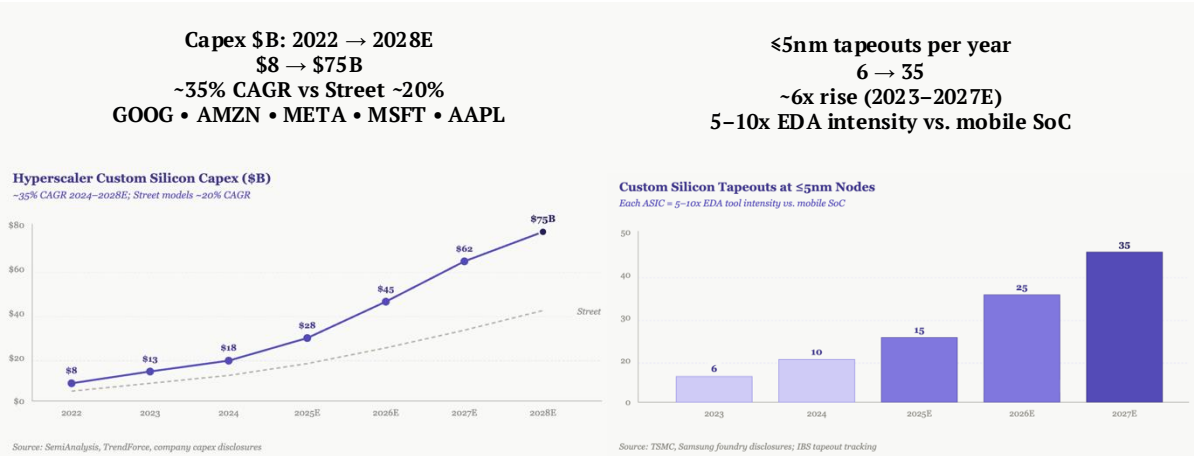
No credible challenger:
CDNS lacks IP breadth, Siemens lacks leading-node presence, China lacks all four

Thesis 1 - Silicon Tailwind Explodes Revenue Segments

Hyperscaler capex has grown ~72% annually since GPT-4's release — SNPS captures disproportionate share as the vendor of choice across every major hyperscaler

The custom silicon wave is structurally larger than Street models...

...and SNPS is disproportionately poised to capture it...



Hyperscaler design wins on SNPS flow

- Google: TPU v7 on Fusion Compiler + DSO.ai
- Amazon: Trainium3 + Graviton5 full AI synthesis
- Meta: MTIA v3 — first full SNPS + Ansys flow
- Microsoft: Maia 200 collaboration Q1 FY26

Market View:

Assumes merchant-silicon share; linear with capex

Variant Perception:

SNPS capture >45% custom silicon share on AI + Ansys

Δ vs Street: Design Automation +\$800M thru FY27
~200 bps operating margin uplift

...which compounds through premium AI contract monetization, increasing EDA TAM and revenue

SNPS Revenue Build			
Segment	FY25A	FY27E	CAGR
EDA	\$4,374	\$5,684	14%
Simulation (Ansys)	\$755	\$3,479	115%
Design IP	\$1,749	\$2,002	7%
Other	\$176	\$225	13%
Total Revenue	\$7,054	\$11,390	27%
Adj. EBITDA	\$2,789	\$4,222+	
EPS	\$12.91	\$14.45+	

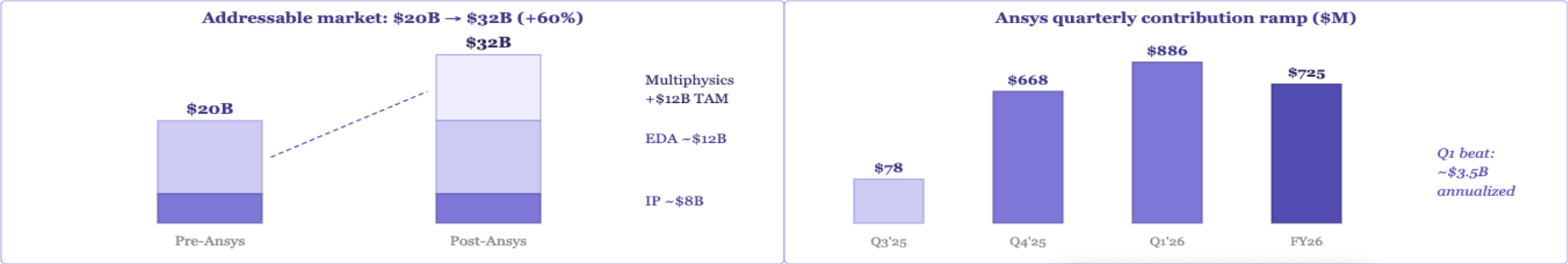
Why capex = EDA revenue (sourced)
• Big 5 capex: \$157B ('23) → \$443B ('25) → \$602B+ ('26E) • 72% annualized growth since Q2 2023 • ~75% of 2026 capex = AI infrastructure • Goldman Sachs: \$1.15T cumulative 2025–2027 • SNPS sells per chip start, not per volume—merchant + ASIC + COT all drive revenue • Each hyperscaler pursuing all 3 vectors; SNPS benefits regardless of which wins

Core Variance
• Each hyperscaler investing across merchant +ASIC + COT = 3x the chip starts per customer • Ansys multiphysics required for 3DIC + HBM thermal validation • \$11.4B backlog = 1.6x FY25 revenue locked in
Market
• Models EDA growth linear with semi capex • Misses chip-start multiplier from 3 vectors • Underestimates Ansys-required 3DIC flows • Sell-side window ends pre-HBM4 cycle

Thesis 2 - Ansys Acquisition Unlocks Adjacent TAM

TAM Expansion Story

Margin Inflection Story



- Expanding TAM + Physical AI**

 - AI chip complexity (3DIC, HBM stacking) makes simulation mandatory
 - Physical AI (robotics, AV) requires simulation only Ansys provides
 - 50,000+ Ansys customers = cross-sell pipeline for SNPS IP
 - Combined platform enables chip-to-system: design SNPS → validate Ansys
- Synergies: what gets cut + Ansys margin not yet reflected**

 - 10% workforce reduction (Sep '25): ~\$400M annualized OpEx savings
 - Redundant corporate overhead, facilities, duplicated R&D for consolidation
 - Ansys gross margin ~92% vs. SNPS ~80%; mix shift lifts as Ansys scales
 - FY25A EBITDA \$2,789M → FY26E \$4,222M (+51%)

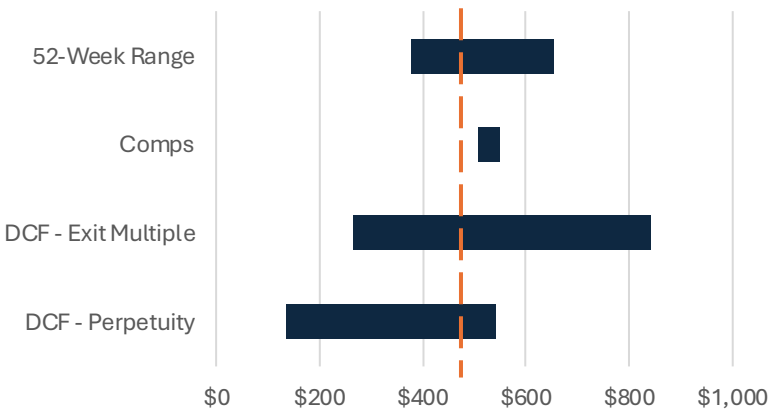
Combined Ansys + EDA product integration = third growth vector the Street isn't modeling

Combined Product	Function	Revenue Impact
Multiphysics Fusion	Thermal + EM + structural native in EDA signoff	20–30% contract uplift
AgentEngineer	Multi-agent AI: SNPS DSO.ai + Ansys in auto loops	2–5x productivity → premium
Electronics Digital Twin	Chip-package-system virtual prototype w/ physics	\$3B+ new TAM
Ansys 2026 R1	End-to-end SNPS-Ansys safety + materials flows	↑ lock-in; 2-platform switch cost
Combined product deals not yet in Street models — represents incremental upside to FY27E guide		

FY25A		FY27E Base	
Revenue	\$7,054M	Revenue	\$11,390M
EBITDA	\$2,789M	EBITDA	\$4,222M
EPS	\$12.91	EPS (+9%)	\$17.80
Δ vs Street — Variant View			
• Street prices Ansys as revenue line, not platform lift			
• Margin held flat at 38% despite synergy program			
• Activist-driven margin discipline unmodeled → +\$70 upside			

Valuation + Price Target

Football Field



Price

Blended Price Target
\$468.91
+12% upside

Blended Methodology

1	DCF			
		Weighting	Perpetuity	Exit Multiple
	Bull	25.0%	\$541.85	\$843.64
	Base	50.0%	\$267.77	\$478.06
	Bear	25.0%	\$135.83	\$264.79
	Blended PT		\$303.30	\$516.14

2	Comps			
		Weighting	Price	
	EV/EBITDA (2026E)	33.3%	\$548.06	
	EV/Sales (2026E)	33.3%	\$507.39	
	P/E (2026E)	33.3%	\$528.87	
	Blended PT		\$528.11	

DCF — Base Case

9.0%	1.15 Beta, 4.28% risk-free rate,
WACC	4.46% equity risk premium,
	4.35% After-tax Cost of Debt
3.5%	Benchmarked to nominal
PGR	inflation rates. SNPS' moat
	earns it a slight premium.
FY	Projected 10 years of UFCF to
2035E	reflect stability of recurring
	revenue and defensible moat.

Comps

Selected Multiples:	
EV/EBITDA (2026E)	26.9x
EV/Sales (2026E)	11.0x
P/E (2026E)	36.6x
Selected Comps:	
Group 1: EDA	Cadance, Siemens, Keysight
Group 2: Simulation	Dassault Systèmes, Autodesk
Group 3: Design IP	ARM, Rambus
Highest-weighted Comp:	Cadance – Nearly Identical

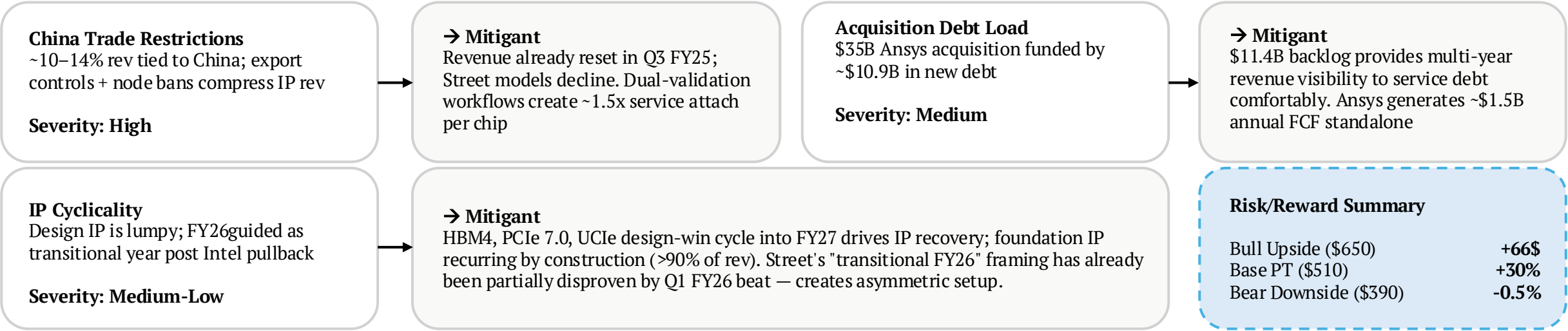
3	Final Valuation			
		Weighting	Price	
	DCF - Perpetuity	25.0%	\$303.30	
	DCF - Exit Multiple	25.0%	\$516.14	
	Comps	50.0%	\$528.11	
	Final Blended PT		\$468.91	

- Other Key Assumptions
- FY 2026E – FY 2035E Revenue CAGR: 11.8% (EDA - 10.5%; Design IP - 10.7%; Ansys - 14%)
 - EBIT Margin: 20-23.5%; margin expansion from Ansys cost synergies and positive shift in revenue mix

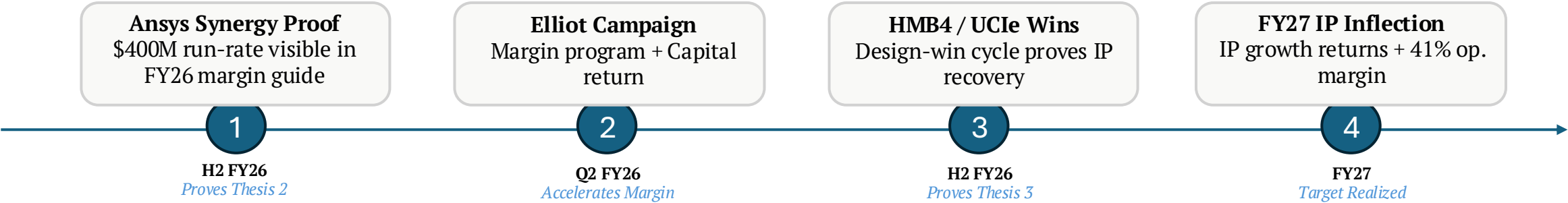
Risks

Principal risks — China exposure, Ansys integration, IP cyclicalty — each paired with structural mitigants; FY27 catalyst path drives thesis to target

Principal Risks → Structural Mitigants



Catalyst Path: Sequenced Through FY27 — Each Catalyst Unlocks the Next



Trading Path: Ansys synergies prove out → Elliott catalyzes margin → HBM4 wins land → FY27 IP recovery realizes \$510 PT

Q&A

Presentation:

1. Executive Summary
2. Business Overview
3. Industry Overview
4. Competitive Landscape
5. Moat
6. Stock Setup
7. Thesis 1
8. Thesis 2
9. Thesis 3
10. Valuation
11. Risks

Appendix:

1. Revenue Build
2. Income Statement
3. Comps
4. DCF
5. Income Statement
6. TAM Build